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Vice-Chairman and CEO of Tech Mahindra

Satyam scrip by certifying overstated financial results of the company as true. "The market value erosion suffered by investors in January alone was Rs 13,500 crore. The auditors did not raise a single objection to irregularities in financial statements in 32 audit meetings since their appointment as statutory auditors of the company," said CBI's Public Prosecutor T. Venkataramana. Significantly, the auditors were found to have frequently changed their passwords while working on computers and the irony is investigators have to spend time in numerous decoding exercises.

Meanwhile, the new auditors are to restate the accounts for the third quarter of 2008-09 which is likely to offer a

more pragmatic assessment of the financial status of the company. The prospective bidders for the controlling stake of 51 per cent are to get it only after March 20. That is when the final list of those declaring a serious expression of interest with proof of availability of funds (of at least Rs 1,500 crore to take part in the proposed auction) will be announced. Currently, there are about 10 suitors for whom putting a value on Satyam is a shot in the dark. Nobody knows the real value and there are still no ways to assess all risk factors in any due diligence exercise. In effect, the auction will be delayed until there is clarity on the financials. "There is no transparency and as a result there are more rumours afloat than facts," said Spice Corporation Chairman B.K. Modi.

No less worrisome for the Government that has appointed an interim board to manage the company is the future of the employees. If the acquirer feels that the company has to be downsized, it can be an embarrassment ahead of the elections. Politicians of all hues have cried hoarse on the need to protect Satyamites and keep it afloat as a major IT company.

The biggest concern though is legal damage. The first comes from the UK-based mobile solutions company Upaid System that has filed a lawsuit against Satyam in a Texas court for fraud and forgery claiming damages worth \$1 billion. It is to come up for hearing against Satyam in Texas on June 1. The only consolation is that Upaid is willing for an out-of-court settlement. Then there are 13 class action lawsuits, filed following Raju's sensational statement, which implies that the company may have to pay out hundreds of millions of dollars if the US courts decide that the burden of the scandal falls on the company, its promoters and auditors. The next 10 weeks are perhaps the longest pause in the life of Satyam. As investigators try and put the pieces of the jigsaw together to draw a picture, Satyamites hope the Government will not wait for the political reboot called elections and move on with the auction process instead of despatching them to the recycle bin. ■

The Suitors

- **Larsen & Toubro**—a technology, engineering, construction and manufacturing company with a market cap of Rs 33,715 crore
- **Tech Mahindra**—an IT integrator and business consulting firm with a market cap of Rs 3,202 crore
- **Spice Corporation**—got Rs 4,000 crore from sale of its stake in Spice Communications
- **iGate**—an integrated technology and operations company
- **Texas Pacific Group and Kohlberg Kravis and Roberts**—both private equity firms fronting for global IT majors which may join them to form part of a special purpose vehicle to be floated to acquire a majority stake